

FIG. 01 · DRAWN TO SCALE

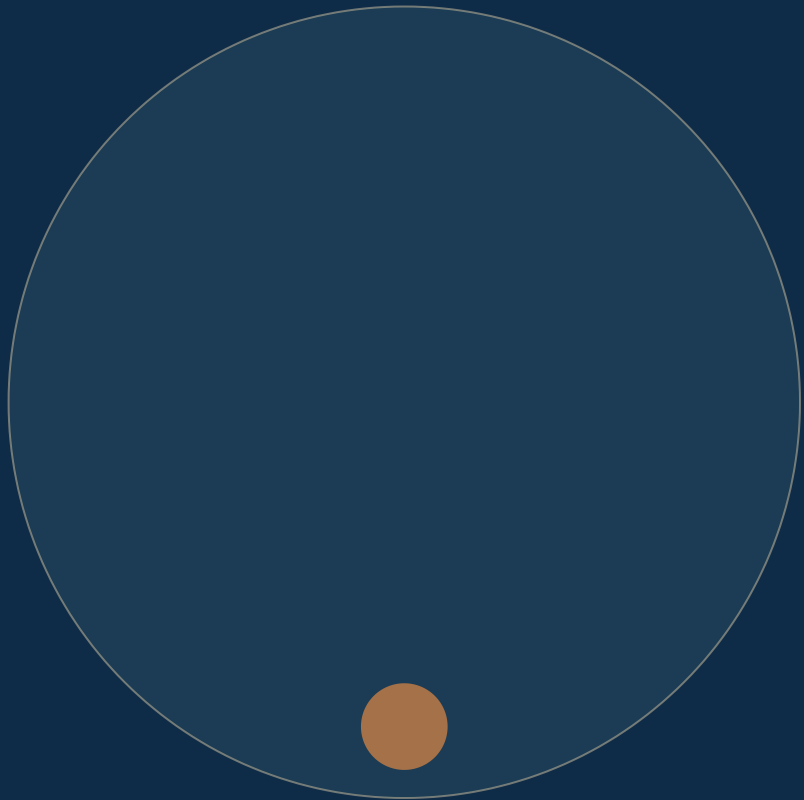
**The large circle**

One money market fund. Tera Portföy's TP2 held TRY 224.4bn on 16 September 2026.

**The bronze circle**

Every fine Turkey's market regulator imposed in 2025, on all 297 people and companies it sanctioned: TRY 2.69bn.

Areas proportional. TEFAS data via yatirimci.ai; Legal500, 2026.



# The Tollgate Markets

Turkey froze 131 funds holding the savings of 455,758 people. Its regulator's fines for all of 2025 came to about 1% of a single one of them. Where else does breaking the rules cost a fee instead of a future?

## I — THE DAY THE CASH FROZE

# They thought they were holding cash.

On 17 September 2026, Turkey's Capital Markets Board ordered 131 investment funds into liquidation in a single day. Inside them sat the savings of 455,758 people.

[SPK Bulletins 2026/60 and 2026/61, 17 Sep 2026 · MKK investor count, via Reuters]

Many of those savers owned money market funds, the product people treat like a bank account. One of the largest, Tera Portföy's TP2, held about 63% of its assets in repo deals. Reuters reports that it returned 123% over a period when inflation ran at 60%, without giving the dates.

[TEFAS fund data via yatirimci.ai, 16 Sep 2026 · Reuters explainer, 2 Oct 2026]

## *Cash does not do that.*

By 30 September, prosecutors had named 217 suspects and jailed 56. The justice minister had said the proceedings targeted people and structures alleged to have used "Ponzi-like methods." No court has ruled on guilt in any of it, and nothing in this briefing is a finding of guilt.

[Justice ministry figures via Reuters, 2 Oct 2026 · Justice minister's statement, 18 Sep 2026]

The arrests are the loud part of the story. The quiet part is the price list that came before them.

In 2025, Turkey's regulator fined 297 people and companies a combined TRY 2.69 billion, about \$65 to 70 million. That is roughly 1% of a single money market fund at the centre of the collapse. And under Article 107(3) of the Capital Markets Law, a person accused of transaction-based manipulation who pays the Treasury twice the benefit, at least TRY 500,000, before an investigation opens faces no penalty at all. The regulator's 2026 complaints give 15 days to pay.

[Legal500, 2026 · Capital Markets Law Art. 107(3) · SPK criminal-complaint bulletins, 2026]

### THE TERM THIS BRIEFING INTRODUCES

**A tollgate market is a market where breaking the rules is a toll you pay, not a wall you hit.**

This briefing asks how many other markets work the same way. The answer depends less on their laws than on three things their laws do not show.

# 131

funds ordered into liquidation, 17 Sep 2026

# 455,758

unique investors inside them (MKK)

# \$16.5–20bn

in assets, depending on source and date

# 217 / 56

suspects named / jailed by 30 Sep 2026

## THE BOTTOM LINE

# Most markets write tough laws. The tollgates open afterwards.

Many markets in this study let regulators fine manipulators a multiple of the gain. The weakness lives in three places the statute books do not show.

01

### The gain nobody measures

When a regulator cannot prove the profit, multiples collapse to a flat amount. Vietnam's fine for an unproven gain is VND 1.5bn, about \$57,000.

02

### The fine nobody collects

From 2007 to 2012, Canada's provincial regulators collected about 35.7% of penalties imposed. British Columbia collected 2.9%.

03

### The trial that never comes

Indonesia has 42 suspected market crimes under investigation and 5 final verdicts. In Turkey, an early payment means no penalty.

#### WHERE IT MATTERS NOW

The markets that most resemble pre-collapse Turkey today are **Indonesia** and **Vietnam**, with **Thailand** close behind and **Bangladesh** a provisional fourth. Severe sentences arrive after collapses: 40 years in Korea, 36 in Singapore, life in Indonesia.

#### WHAT TO DO WITH IT

Read a market's collection rate before its penalty code. Screen any market with the Tollgate Test on page 18: five signs, four numbers. Treat Turkish fund values as unproven until liquidation recoveries are known, and watch MSCI's November 2026 review.

## INSIDE

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## II — THE CASH THAT WASN'T

# How a savings fund came to lean on stocks that barely trade

On 21 August 2026, by the TEFAS data the analyst Hilmi Güvenal examined, Tera's money market fund held TRY 203 billion. Sixty-two percent of it sat in reverse repo.

[H. Güvenal, "The Devil Takes the Hindmost," Substack, 18 Sep 2026]

A reverse repo is a short loan with a deposit attached. The fund hands over cash, the borrower hands over securities, and the deal unwinds days later. With government bonds as the deposit, it is about as dull as finance gets.

The trouble starts when the deposit is a share that barely trades. Investors call that a thin float: only a sliver of the company's stock ever changes hands, so a few determined buyers can move the price. And the price is what everyone uses to value the fund.

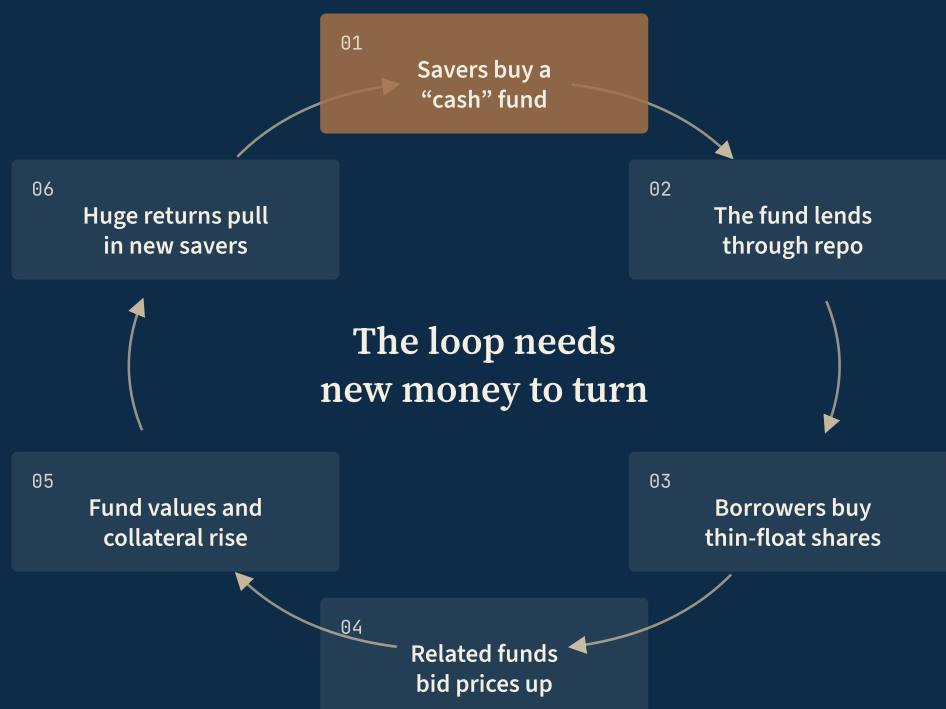
That is the allegation at the centre of the Turkish case. Regulators and the press describe funds buying thinly traded Borsa Istanbul stocks and lifting their own valuations, with money market funds financing the chain through repo. The regulator has cited unsecured borrowing between related parties.

[Reuters explainer, 2 Oct 2026 · SPK statements, Sep 2026 · Business Standard, 18 Sep 2026]

FIG. 02

## The loop, as alleged

Six steps that turn savings into fuel for rising share prices. Mechanism as described by regulators and press reports. These are allegations, not court findings.



NPSI schematic from: Reuters, 2 Oct 2026; SPK statements, Sep 2026; Güvenal, Substack, 2026.

II — THE CASH THAT WASN'T

# Returns no cash product earns

FIG. 03

## What the “cash” fund held

Tera TP2 on 16 Sep 2026: TRY 224.4bn, 169,234 investors.



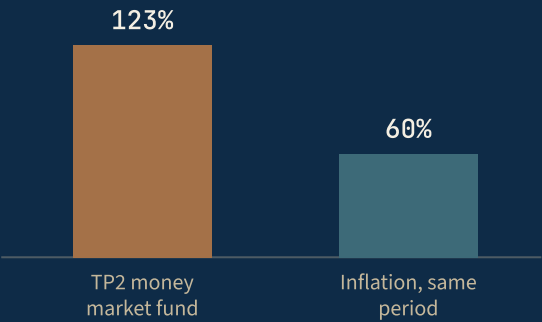
Bronze: share of assets in reverse repo. A true money market fund holds short, liquid paper.

TEFAS data via yatirimci.ai, 16 Sep 2026.

FIG. 04

## What it paid

Return over a period Reuters does not date, percent.



Reuters explainer, 2 Oct 2026.

FIG. 05

## 2025: one Tera fund against the whole market

Calendar-year return, percent. Bars start at zero and share one scale.

### One Tera fund

2025 calendar year



### BIST index

2025 calendar year



Bianet, 2026.

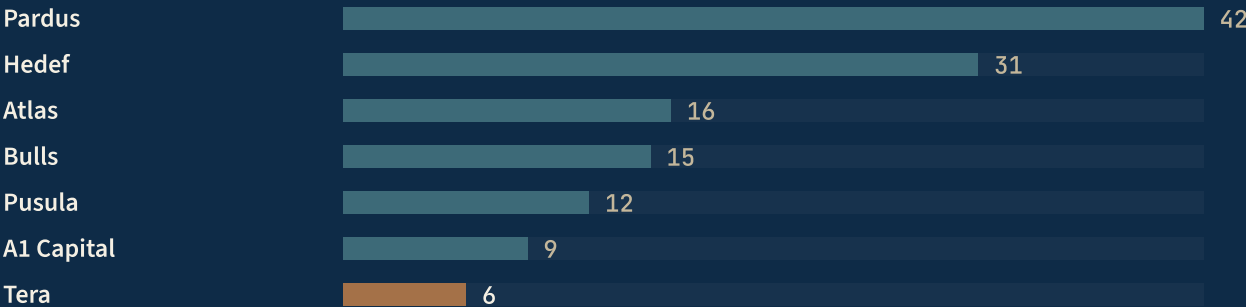
The figures depend on the window, and every window points the same way. Bloomberg reported on 18 September that Tera’s flagship fund had risen more than 17,000% since the start of 2025. Reuters reports that Tera’s TLY hedge fund made 747% from January to July 2025, when it had fewer than 200 investors, then passed 15,000% by September, after opening to 102,616 investors and growing to \$5 billion of assets.

[Bloomberg, 18 Sep 2026, as summarised by T24 • Reuters explainer, 2 Oct 2026]

FIG. 06

## Who ran the 131 funds

Funds ordered into liquidation on 17 Sep 2026, by manager. Tera ran the fewest. Its money market fund alone held TRY 224.4bn.



SPK Bulletin 2026/61. The counts sum to 131.

Pusula defaulted first. Its funds on TEFAS, Turkey’s fund platform, shrank from TRY 115 billion to under TRY 8 billion. Then Tera defaulted on redemptions in its equity fund and its money market fund.

[H. Güvenal, “The Devil Takes the Hindmost,” Substack, 18 Sep 2026 • Tera Portföy KAP filing, 16 Sep 2026]

## III — THE WARNINGS WERE ON THE RECORD

# Most of a year before the main rules

The regulator says it saw prices defy fundamentals from the fourth quarter of 2025. It raised the bar for qualified investors in December and added a valuation rule in July 2026. Its main rules on concentration, repo and related-party lending arrived on 28 August. Twenty days later it was ordering liquidations.

[SPK statement, 18 Sep 2026, via CNBC-e]

- Jul 2025

● **Ramazan Başak**, a former MASAK deputy head, petitions the authorities about Tera Yatırım. In November he is detained on a complaint by Tera and Tezmen, and indicted.  
[Cumhuriyet, via T24, 2026]
- Q4 2025

● By its own account, the **SPK** sees share prices moving in ways that defy fundamentals.  
[SPK statements, Sep 2026]
- Nov 2025

● Finance Minister **Mehmet Şimşek**: “We know that these manipulations are being carried out particularly through certain funds.”  
[Reuters explainer, 2 Oct 2026]
- Jan 2026

● **Başak** files a criminal complaint on 5 January. A chief adviser to President Erdoğan leaves Tera Portföy’s board.  
[Cumhuriyet, via T24 · Middle East Eye, 2026]
- Jun 2026

● **MSCI** flags coordinated trading, fund holdings that inflate free float, and opaque ownership. Without progress by its November review, it may open a consultation.  
[MSCI, 23 Jun 2026]
- Jul 2026

● **Destek Finans**, a company Tera took public and its funds held, reaches a market value of TRY 1.3 trillion (\$27.9bn).  
[Bloomberg via ThePrint, 2026]
- 28 Aug 2026

● **The rules arrive.** SPK issues limits on concentration, repo and related-party lending.  
[SPK; H. Güvenal, Substack]
- Sep 2026

● **Pusula** defaults, then **Tera**.  
[H. Güvenal, 18 Sep 2026 · Tera Portföy KAP filing, 16 Sep 2026]
- 17 Sep 2026

● 131 funds ordered into liquidation. İş Bankası takes Tera’s funds; Ziraat Bankası the rest.  
[SPK Bulletins 2026/60-61]
- 23 Sep 2026

● **Emre Tezmen** and four others are remanded in custody.  
[Euronews, 23 Sep 2026]
- 30 Sep 2026

● 217 suspects, 56 jailed, per the justice minister. Prosecutors cite aggravated fraud and market fraud by an alleged criminal organisation; the SPK’s complaints cite Art. 107(1).  
[Reuters explainer, 2 Oct 2026 · Yeni Şafak · SPK bulletins]
- Nov 2026

● **MSCI** review: a possible consultation on Turkish securities.  
[MSCI, 23 Jun 2026]

IV — THE PRICE LIST

# What manipulation cost in Turkey before the collapse

On paper, Turkish law is strict. Where a benefit is shown, administrative fines must be at least twice it, and companies can be fined up to the higher of 1% of revenue or 20% of pre-tax profit. In practice, the 2025 fine book looked like this.

[Capital Markets Law Arts. 103-104; Legal500, 2026]

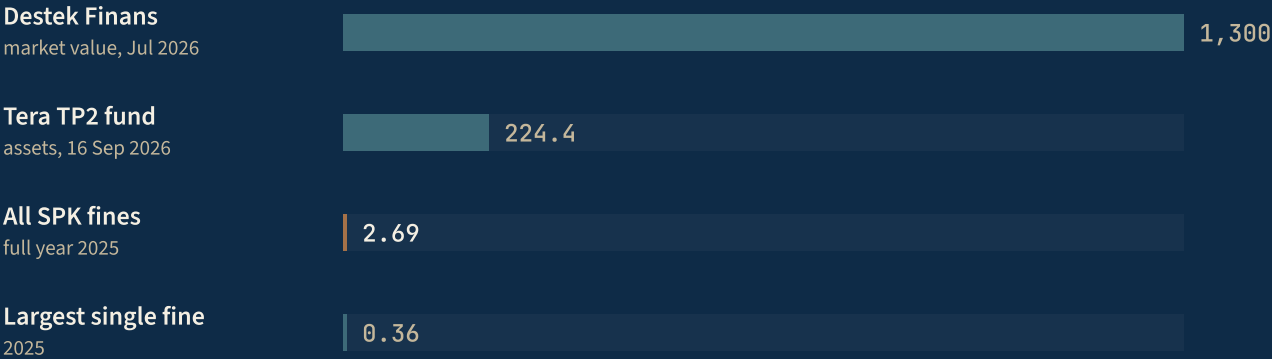


[Legal500, "Administrative Monetary Fines of the Capital Markets Board of Türkiye in 2025," 2026]

FIG. 07

## Drawn to scale: the fine book against what it policed

Billions of lira. One scale for every bar; the two smallest are drawn at a minimum length so they stay visible. The bronze bar is a full year of fines.



Bloomberg via ThePrint, 2026; TEFAS via yatinimci.ai, 16 Sep 2026; Legal500, 2026.

Bloomberg reports that shares in Tera's own brokerage rose almost 40,000% after their 2022 listing. In the same market, the regulator penalised 35 instances of order-based manipulation in 2025.

[Bloomberg, 2026 · Legal500, 2026]

An administrative rule narrows one form of market abuse: misleading statements count only if the person also placed orders or traded around them. The criminal offence, Art. 107(2), requires that the person obtained a benefit.

[SPK Communiqué VI-104.1, via Legal500, 2026 · Capital Markets Law Art. 107(2)]

## IV — THE PRICE LIST

# Article 107(3): the clause that turns a crime into a price

Transaction-based market fraud carries three to five years in prison. Then the law offers a way out, priced by timing. Under Article 107(3), a person who pays the Treasury twice the benefit, at least TRY 500,000, before an investigation opens faces no penalty. Paying during the investigation halves the sentence; paying at trial cuts it by a third. The regulator's 2026 criminal-complaint bulletins give 15 days to pay.

[Capital Markets Law Art. 107(1) and (3), mevzuat.gov.tr · SPK bulletins, 2026]

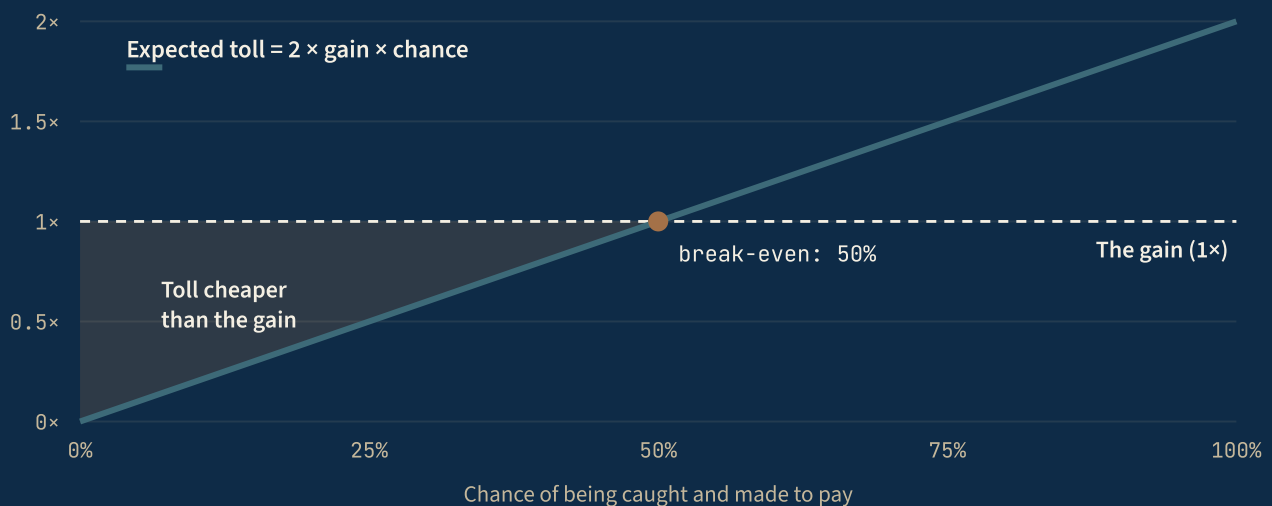
Even the September bulletins are complaints, not penalties, as Güvenal points out, and each one carries the same footnote about this effective-repentance route.

[H. Güvenal, "Fonzide Ara Bilanço," Substack, 2026]

FIG. 08

## The tollgate arithmetic

Expected cost of the 2x payment, as a multiple of the gain, against the chance of being caught. Illustrative, not data.



NPSI sketch. Assumes payment within the SPK's window, before an investigation opens, so the 2x payment is the only cost once caught. Fines, civil claims and reputation raise the real cost.

### WHO SAT WHERE, AS REPORTED

- A chief adviser to President Erdoğan sat on Tera Portföy's board until January 2026. [Middle East Eye, 2026]
- Emre Tezmen sat on the board of MKK, Turkey's central securities depository. [Middle East Eye, 29 Sep 2026]
- AKP deputy chair Fatma Betül Sayan Kaya resigned after an opposition politician's allegations about trading in Özata Denizcilik shares; Reuters says she took political responsibility while they were examined. [Reuters explainer, 2 Oct 2026]
- Tezmen blamed "a planned, deliberate and organised speculative attack" by "notorious malevolent forces," stressed Tera's domestic credentials and voiced support for President Erdoğan. [Reuters, on his statement of 16 Sep 2026]

Positions and allegations as reported. None is a court finding against the people named.

## V — PAPER TEETH

# Turkey's statute was not the problem. Neither is anyone else's.

Turkey, Korea, China, Thailand, Singapore and Australia all let fines reach multiples of the gain on paper. The tollgates open in three places the statute books do not show.

## 01 · MEASURE

## The gain nobody measures

A multiple needs a number to multiply. When the regulator cannot prove the profit, the fine falls back to a flat amount.

## 02 · COLLECT

## The fine nobody collects

A penalty ordered and never paid is a press release. Few regulators publish their collection rates.

## 03 · PROSECUTE

## The trial that never comes

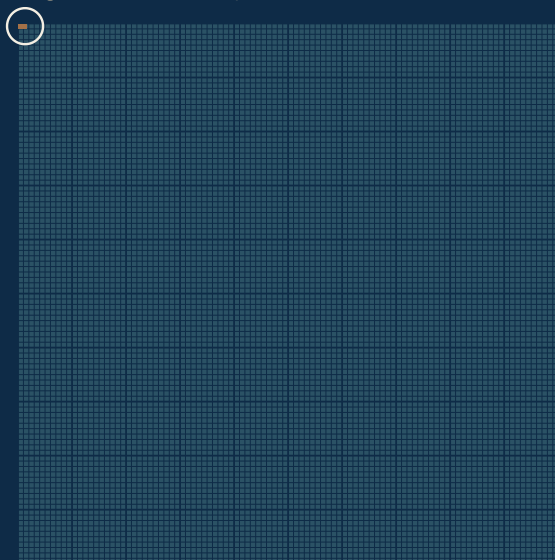
Settlements, repentance clauses and slow courts turn crimes into negotiations.

## Exhibit 01: one chairman, two fines

FIG. 09

### VND 10,000 of sale proceeds

Each square is one dong from the undisclosed sale. The ringed bronze sliver, top left, is the fine.



Fine VND 65m against about VND 400bn of proceeds: 1.6 dong per 10,000, or 0.016%. Giáo dục, 14 Dec 2017; VIR.

In 2017, Vietnam fined FLC Group chairman **Trinh Van Quyet** VND 65 million for an undisclosed sale of 57 million shares. The sale brought in about VND 400 billion.

[Giáo dục, 14 Dec 2017 · Vietnam Investment Review]

In January 2022 the regulator fined him again, VND 1.5 billion, about \$65,600 at the time, for an undisclosed sale of 74.8 million shares. It called that the heaviest penalty its rules allowed for the breach.

[VietnamPlus · The Vietnamese, 2025]

Manipulation is fined at ten times the gain, but in several published cases the regulator recorded the gain as not determined. Then the multiple has nothing to multiply, and the fine is a fixed VND 1.5 billion.

[Decree 156/2020, Art. 36, as amended · VietnamFinance]

*That is the first tollgate: the gain nobody measures.*

## THB 0.5–2m

Thailand's fallback fine when the gain cannot be calculated

## ¥550,000

A Japanese manipulation surcharge, June 2025

## KRW 4bn

Korea's ceiling since 2024 when the gain cannot be calculated

[TDRI, Apr 2025 · FSA/SESC, Aug 2025 · FSC Korea]

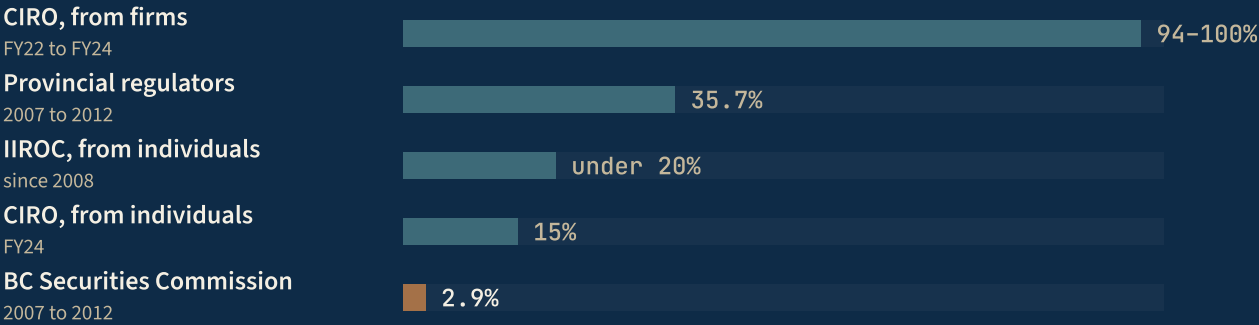
# The fine nobody collects

Canada has no national securities regulator. It has 13 provincial and territorial commissions and one self-regulator, CIRO. They impose large penalties, mostly on small-cap fraudsters. The cheques are another matter.

FIG. 10

## Share of imposed penalties actually collected, Canada

Percent. Firms pay. Individuals mostly do not.



CBC analysis of 2007–12, via Case IQ; CIRO Enforcement Report 2023–24; Globe and Mail, 2017. CIRO firm range shown at midpoint.

The Globe and Mail counted C\$1.1 billion in unpaid fines in 2017. British Columbia’s commission is owed about C\$430 million by more than 400 parties, collected C\$12.7 million over six fiscal years, and expects about C\$130 million never to come back.

[Globe and Mail, 2017 · CBC, Mar 2024]

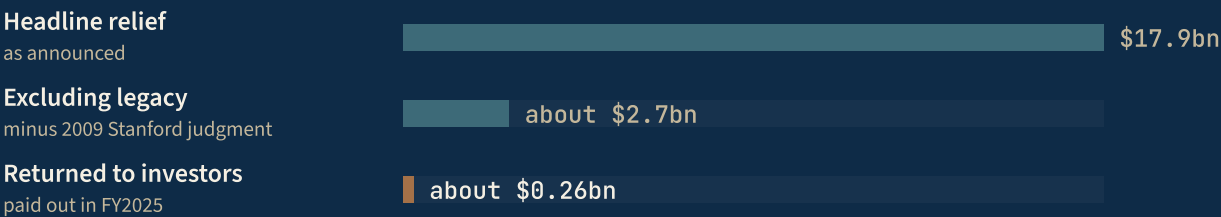
India shows the same gap at larger scale. SEBI lists ₹77,800 crore of dues as difficult to recover in its 2024–25 annual report, up from ₹76,293 crore a year earlier. More than ₹61,200 crore of that sits before court-appointed committees, much of it tied to two cases, Sahara and PACL.

[SEBI annual reports via Business Standard, Aug 2024 and Aug 2025]

FIG. 11

## Even at the strong end, the headline is not the cheque

US SEC, fiscal 2025, billions of dollars. Distributions lag orders, so the last bar shows scale, not a collection rate.



SEC press release 2026–34, 7 Apr 2026; Sidley analysis of FY2025 results.

## VI — THE LADDER

# Seventeen markets, softest to strongest

Ratings judge enforcement in practice and are NPSI's assessment from the sourced data in this briefing. "Very high" means the expected penalty sits clearly below the expected gain for a well-resourced manipulator. More pips, softer enforcement.

| #  | MARKET                                  | WHAT A PENALTY LOOKS LIKE IN PRACTICE                                                                   | PRISON REALITY                                               | COLLECTION                      | TOLL RISK     |
|----|-----------------------------------------|---------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|---------------------------------|---------------|
| 01 | Turkey<br>pre-Sept 2026                 | 2025 fine book TRY 2.69bn across 297 people and companies; comms-manipulation fines average about \$55k | Pay 2x the benefit before an investigation opens: no penalty | Not published                   | Very high     |
| 02 | Vietnam                                 | 10x the gain; VND 1.5bn (about \$57k) if no gain is shown                                               | FLC manipulation term dropped on appeal, 2025                | Not published                   | Very high     |
| 03 | Bangladesh<br>provisional; under review | Fines below gains; up to 90% after 2025 reform (Daily Star)                                             | Rare                                                         | Regulator has sued to collect   | Very high     |
| 04 | Indonesia                               | About Rp1.6bn (about \$100k) per sanctioned party, 2022 to Jan 2026                                     | 42 under investigation; 5 concluded                          | Not published                   | High          |
| 05 | Thailand                                | 2x gain, or THB 0.5–2m if the gain cannot be calculated                                                 | Rare; civil-fine cases average 2,050 days                    | Not published                   | High          |
| 06 | Canada                                  | Up to about C\$1m per violation plus disgorgement                                                       | Criminal convictions rare                                    | About 35.7% in 2007–12; BC 2.9% | High          |
| 07 | Brazil                                  | R\$832m on 186 people in 2023; settlements dominate                                                     | First criminal convictions around 2011                       | Low capacity to collect         | High          |
| 08 | Japan                                   | Surcharges from ¥550,000 to ¥220m                                                                       | Few criminal referrals a year                                | High                            | Moderate-high |
| 09 | India                                   | Up to ₹25 crore or 3x profit                                                                            | Rare and slow                                                | ₹77,800 crore hard to recover   | Moderate-high |
| 10 | South Korea                             | Since Jan 2024, surcharge up to 2x the gain                                                             | Severe after scandals: 30 to 40 years                        | First 2x surcharge, Sept 2025   | Moderate      |
| 11 | China                                   | RMB 15.5bn across 661 decisions, 2025                                                                   | 172 criminal referrals, 2025                                 | Not published                   | Moderate      |
| 12 | EU / Germany                            | Minimum maximums of €5m (people) and €15m or 15% of turnover (firms)                                    | Criminal regime under MAD                                    | n/a                             | Low-moderate  |
| 13 | United Kingdom                          | Unlimited fines                                                                                         | Up to 10 years since Nov 2021                                | n/a                             | Low-moderate  |
| 14 | Hong Kong                               | HK\$10m and 10 years                                                                                    | Record 6 yrs 8 mths, 2024                                    | n/a                             | Low           |
| 15 | Australia                               | Civil: greater of A\$1.82m or 3x the benefit                                                            | Up to 15 years; regular                                      | n/a                             | Low           |
| 16 | Singapore                               | Up to 3x profit or S\$2m                                                                                | 36 years, upheld Mar 2026                                    | n/a                             | Low           |
| 17 | United States                           | Disgorgement plus civil penalties                                                                       | Routine parallel DOJ cases; 20-year maximum                  | Headline far above cheque       | Lowest        |

**NOT RATED** • Pakistan, Nigeria, Egypt, Mexico, Argentina, South Africa, the Philippines, Malaysia, Saudi Arabia, the UAE, Russia, Kazakhstan, Cayman, the BVI and Luxembourg. Absence from the ladder is not a clean bill of health.

[Sources per market in Section VII and the source list. Ratings: NPSI assessment, 3 Oct 2026; facts corrected 4 Oct 2026, ratings unchanged.]

VII — SEVENTEEN MARKETS UP CLOSE

# Where the toll is cheapest

Where the expected penalty sits furthest below the gain.

RANK 02 • FAILS AT: MEASURE

## Vietnam

VND 1.5bn floor

When no gain is established, a manipulation fine is fixed at VND 1.5bn. On appeal in June 2025, FLC’s chairman saw his three-year manipulation term removed, leaving a VND 4bn (\$153k) fine on that count.

His remaining seven-year sentence is for fraudulent appropriation, cut after more than VND 2.46 trillion in restitution.

[Decree 156/2020, as amended; Malay Mail, 26 Jun 2025; VietnamPlus]

RANK 04 • FAILS AT: PROSECUTE

## Indonesia

Rp240.65bn, 151 parties

OJK’s manipulation fines from 2022 to January 2026 average about Rp1.6bn (about \$100,000) per party. OJK cited one case it had referred to prosecutors and 42 suspected criminal cases under investigation, 32 of them manipulation. Five concluded cases have final verdicts.

The big cases went through corruption courts instead: a life sentence for Benny Tjokrosaputro over Jiwasraya, and an order to repay about \$370 million over Asabri.

[OJK, 9 Feb 2026, via Indonesia Business Post; Reuters; CNN Indonesia, 13 Jan 2023]

RANK 05 • FAILS AT: PROSECUTE

## Thailand

2,050 days

Cases settled through civil fines took 2,050 days on average, up from 519 in 2018. Some offenders paid fines of THB 500,000.

At Stark Corporation, at least THB 15.6bn of irregular transactions preceded a share collapse of more than 90%. The ex-chairman fled to the UAE, was returned in June 2024 and indicted; THB 2.54bn of his assets were seized.

[TDRI, Apr 2025; Nation Thailand; ACGA; Bloomberg, Feb 2024; Khaosod English, 23 Jun 2024]

RANK 03 • PROVISIONAL

## Bangladesh

Under review

The Daily Star has reported that penalties below illegal gains kept manipulation profitable. In August 2025 it reported that fines now cover up to 90% of illicit gains, against about 20% before. The regulator has had to sue to collect unpaid fines.

The evidence now points both ways. Bangladesh stays on the ladder provisionally, its rating under review.

[Daily Star, 12 Aug 2025; TBS, 27 Oct 2024]

FIG. 12

### The toll, in dollars

Typical or fixed sanctions in the softest markets, US dollars. For scale, Tera’s TLY fund alone held about \$5 billion by September.

#### Indonesia

average manipulation fine per party

about \$100,000

#### Vietnam

fixed fine when no gain is established

about \$57,000

#### Turkey

average fine, manipulation by communication

about \$55,000

OJK, 9 Feb 2026; Decree 156/2020, as amended; Legal500, 2026; Reuters, 2 Oct 2026. Conversions approximate, at 2026 rates.

VII — SEVENTEEN MARKETS UP CLOSE

# Real fines, missing cheques

Real penalties on paper, and a gap at the cashier or the courtroom door.

RANK 06 • FAILS AT: COLLECT

## Canada

C\$1.1bn unpaid

Thirteen commissions and no national regulator. CIRO collected 94–100% of fines from firms and 10–38% from individuals over FY22 to FY24.

In Poonian (2024), the Supreme Court of Canada held that bankruptcy wipes out administrative penalties, while disgorgement orders survive.

[CIRO Enforcement Reports; Globe and Mail, 2017; CBC, Mar 2024; 2024 SCC 28]

RANK 09 • FAILS AT: COLLECT

## India

807 of 3,871

Of SEBI's recovery certificates, 807 of 3,871 were classed as difficult to recover by March 2024. Sahara and PACL account for ₹63,206 crore, 61.5% of the ₹1,02,830.75 crore due.

The statute allows up to ₹25 crore or three times the profit. Criminal convictions are rare and slow.

[SEBI FY24 annual report via Business Standard, Aug 2024]

RANK 07 • FAILS AT: PROSECUTE

## Brazil

R\$832m, 186 people

The penalties the CVM imposed in 2023. Most cases end in settlements (termos de compromisso) with no admission of guilt.

One ABN Amro executive settled with the CVM for R\$238,000; the criminal case against him was conditionally suspended. Scholars describe a severe penalty with a notoriously low chance of being enforced.

[Anuário da Justiça, via JuriNews; Global Investigations Review; Migalhas]

RANK 08 • FAILS AT: MEASURE

## Japan

One recommendation

The SESC recommended a single manipulation surcharge in FY2024. Surcharges track the gain by formula: FY2024's one manipulation surcharge was ¥21.76m, and 2025 surcharges have ranged from ¥550,000 to ¥8.25m. Japan leans on reputation and gatekeepers, not fine size.

[FSA/SESC, Aug 2025; SESC Annual Report 2024/25; Finance Magnates]

FIG. 13

### Where each market fails first

Primary failure point per soft market; most fail at more than one. Bronze: Turkey.

01 • MEASURE

The gain nobody measures

Vietnam

Japan

02 • COLLECT

The fine nobody collects

Canada

India

Bangladesh\*

03 • PROSECUTE

The trial that never comes

Turkey

Indonesia

Thailand

Brazil

NPSI assessment from the sourced data in Sections IV to VII. \*Bangladesh provisional.

## VII — SEVENTEEN MARKETS UP CLOSE

# Where the wall is real, and where it came late

RANK 10 · MOVING UP

## South Korea

Since 19 Jan 2024

Until then, manipulation and insider trading could only be punished criminally, which the FSC says usually took a long time. The reform added surcharges up to twice the gain (KRW 4bn if the gain cannot be calculated), a statutory way to compute the gain, and 50–100% leniency for self-reporters. The first such surcharge came in September 2025. A later revision added bans of up to five years on trading and on serving as a listed-company executive.

Whether this narrows the “Korea discount” is not established here.

[FSC press releases; Kim & Chang]

RANK 11 · HEAVY, AND DIRECTED

## China

RMB 15.5bn, 2025

661 penalty decisions and 172 criminal referrals in 2025, after 592 decisions and RMB 15.3bn in 2024.

It did not always deter. Tang Hanbo was fined RMB 39m in 2014 and RMB 15m in 2015 before a RMB 1.17bn order in 2017. Small fines first, then escalation once they failed.

[Caixin, 20 Apr 2026; Caixin, 2017; Bloomberg, Mar 2017]

### RANKS 12–17 · THE STRONG END

- **United States.** 456 actions in FY2025; routine parallel criminal cases; a 20-year maximum. [SEC, 7 Apr 2026]
- **United Kingdom.** Insider dealing maximum rose to 10 years on 1 Nov 2021, from 7. [FCA]
- **EU under MAR.** Sets minimum maximums, not caps: at least €5m for people, €15m or 15% of turnover for firms. [Regulation 596/2014]
- **Australia.** Raised the prison maximum to 15 years in 2019 and added civil penalties of up to three times the benefit. [ASIC]
- **Hong Kong.** Record manipulation sentence of 6 years 8 months in 2024, still under the 10-year cap. [Sidley, Jul 2024]
- **Singapore.** 36 years for the 2013 penny-stock crash that erased more than S\$8bn, upheld in March 2026. [Malay Mail, 18 Mar 2026]

*Even at the strong end, what is ordered and what is paid are not the same number. The difference is in how fast the wall goes up.*

## VIII — AFTER THE DAMAGE

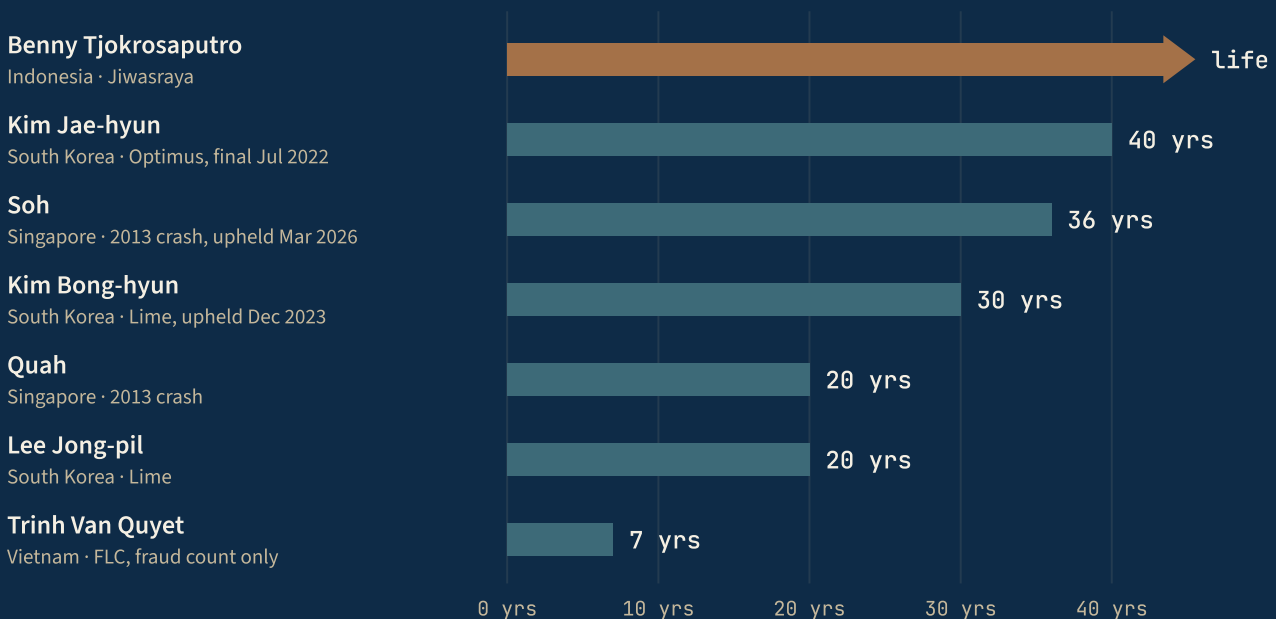
# The harshest sentences arrive after the money is gone

Prison terms in fund and manipulation scandals can be enormous. Look at when they land.

FIG. 14

## Sentences handed down after collapses

Years of prison. Every case here followed losses that had already landed on investors.



Korea Times and Korea Herald, Jul 2022; Segye Ilbo, 23 Jun 2022; Asia Business Daily, Dec 2023; Malay Mail, 18 Mar 2026; Reuters and Jakarta Post, Jan 2023; VietnamPlus; Sidley, Jul 2024.

Optimus's chief executive raised more than KRW 1.3 trillion with promises of public-sector-backed assets. Kim Bong-hyun, the Lime scandal's central figure, drew 30 years. In Indonesia, prosecutors had sought death for Benny Tjokrosaputro.

[Korea Herald; Asia Business Daily; Jakarta Post]

Before the collapses, the same markets moved slowly. Korea could only punish manipulation through criminal courts until 2024, which its regulator says usually took a long time. Even after Jiwasraya and Asabri, Indonesia's OJK fines from 2022 to January 2026 averaged about \$100,000 a party.

[FSC; OJK, 9 Feb 2026]

A forty-year sentence tells the next manipulator what happens after a collapse. It says little about the years before it, when the fines were small and the funds were growing.

NPSI assessment, drawn from the cases above.

IX — THE CASH THAT WASN'T, ELSEWHERE

# Turkey's savers were not the first to be sold liquidity that wasn't there

The Turkish pattern has a family tree: products sold as safe or redeemable that sat on assets that could not be sold at the price on the statement, and positions so concentrated that the price was whatever their owner paid.

KOREA • 2019-20

## Lime

### KRW 1.6 trillion suspended

The FSS found Lime sold open-ended funds, redeemable at any time, while holding illiquid assets. Leverage came through about KRW 670bn of total return swaps with three brokers.

[FSS findings, via Korea Herald]

KOREA • 2020

## Optimus

### KRW 1.3 trillion raised

Marketed as low-risk public-sector receivables. The money went into risky assets or paid earlier investors. Its CEO's 40-year term was finalised in July 2022.

[Korea Herald; Korea Times, Jul 2022]

UNITED STATES • 2021

## Archegos

### Concentration behind swaps

Bill Hwang built concentrated positions in a few names through swaps that kept them off public disclosure. The same own-the-float dynamic, at prime-broker scale. He was convicted of fraud in 2024 and sentenced to 18 years.

[US v. Hwang, SDNY, 2024]

INDIA • 2018 AND 2020

## IL&FS, Franklin Templeton

### Debt funds closed

Short-term and credit funds turned out to hold illiquid paper. Detailed figures were not re-verified for this briefing.

[Flagged in verification notes]

#### ALSO IN THE FAMILY

**China's wealth management products and trust defaults**, where savers treated bank-sold products as deposits. **Bernie Cornfeld's Investors Overseas Services**, the 1960s fund of funds that became the archetype of self-dealing. Neither re-verified here.

#### WHAT TURKEY ADDED

Money market funds with more than 60% in repo, financing related parties and illiquid shares. The SPK cites unsecured related-party borrowing. Interim payouts are to begin with the Tera, Pusula, Atlas and Hedef funds.

[Reuters explainer, 2 Oct 2026 • SPK statements • SPK decision 64/1775, 30 Sep 2026 • H. Güvenal, Substack]

*So where could the next one come from? Start with the markets that already show the signs.*

X — WHO LOOKS LIKE TURKEY NOW

# Four markets share the pre-collapse profile

None of them is Turkey. Each shows enough of the same signs to deserve the same questions.

## 01 **Indonesia** CLOSEST MATCH

An index-provider warning: MSCI froze Indonesian index changes in January 2026 and warned in June that it may consult on moving Indonesia to Frontier status if progress is not evident by November. Widely reported “fried stock” (saham gorengan) pump-and-dumps. Per-party fines around \$100,000. A precedent of institutional money pushed into inflated, illiquid stocks at Jiwasraya and Asabri.

## 02 **Vietnam** CLOSE

A fixed fine of about \$57,000 whenever no gain is established, a retail-dominated market, and a manipulation term dropped on appeal in the FLC case.

## 03 **Thailand** CLOSE

A low fallback fine when gains cannot be measured, enforcement lags measured in years, and a major accounting fraud whose chairman fled abroad before being returned to face charges.

## 04 **Bangladesh** PROVISIONAL

Press reports of penalties below gains and repeat offenders, now set against a 2025 reform that lifted fines toward the gains. Under review.

[MSCI, Jan and Jun 2026; OJK, 9 Feb 2026; VietnamPlus; TDRI; Nation Thailand; Khaosod English; Daily Star]

### THE TURKISH SIGNATURE, IN FIVE PARTS

**1**

Concentrated, low-float listings

**2**

Related-party fund chains

**3**

“Cash” products holding repo against those shares

**4**

Promoters close to political power

**5**

A legal route that puts a price on the crime

The next page turns these five parts into a test anyone can run on any market, with four numbers to demand from its regulator.

NPSI-20261003-B — KEEP THIS PAGE

# The Tollgate Test

Five signs that breaking the rules has a price in a market, and four numbers to ask its regulator for. Three or more signs, and the penalty code is the wrong document to read.

## 1 Thin floats, fresh listings

Are recent listings tightly held, with a small share of stock that actually trades?

Check: free float of the last 24 months of IPOs; index-provider float adjustments.

## 2 Funds that own each other's trades

Do fund managers, brokers and the companies they list sit in the same group?

Check: underwriter, broker and fund manager under one roof.

## 3 "Cash" that holds stock

Do money market or short-term funds hold heavy repo, and against what collateral?

Check: repo share of assets; returns far above the policy rate.

## 4 Promoters close to power

Do fund promoters or board members sit near government or market infrastructure?

Check: board seats at depositories, exchanges, advisory posts.

## 5 A price on prosecution

Can a payment or a settlement close a criminal case without a trial?

Check: effective-repentance clauses; settlement share of sanctions.

### FOUR NUMBERS TO DEMAND

#### Collection rate

Share of imposed fines actually paid, by firms and by individuals.

#### Median fine

Not the statutory maximum. The middle fine actually imposed.

#### Referrals and convictions

Criminal referrals per year, and how many end in a verdict.

#### Pay-to-close route

Whether one exists, and how often it is used.

## XI — WHAT TO WATCH

# The next six months will price the damage

Published fund values are claims until the liquidators sell. Four dates and processes will turn them into numbers.

- Nov 2026

● **MSCI review.** MSCI may open a consultation on Turkish securities, after its June review flagged coordinated trading and free-float distortion. Indonesia faces the same review.  
[MSCI, 23 Jun 2026]
- To mid-Mar 2027

● **Liquidation window.** The SPK first allowed up to three months for asset sales, then extended it to six on 21 September, so sales should finish by about mid-March 2027.  
[SPK Bulletin 2026/61; Euronews]
- Ongoing

● **Interim payouts.** Up to TRY 1 million per investor in each Tera, Pusula, Atlas and Hedef fund, set against the final payout, plus a voluntary return of “excessive gains” through the deposit insurance fund, TMSF.  
[SPK decision 64/1775, 30 Sep 2026; Reuters]
- Ongoing

● **The court phase.** 217 suspects and 56 jailed as of 30 September; 85 jailed across related market probes by 3 October. No court has ruled on guilt. The verdicts will test whether the toll was ever collected.  
[Reuters, 2 Oct 2026; Cumhuriyet, via Turkish Minute, 3 Oct 2026]

## The open files

Fifteen markets were in scope and could not be rated on sourced data. Each is a question this briefing could not yet answer. The first stop for every one of them is the IMF’s Financial Sector Assessment and the IOSCO assessment report.

|              |             |          |              |            |
|--------------|-------------|----------|--------------|------------|
| Pakistan     | Nigeria     | Egypt    | Mexico       | Argentina  |
| South Africa | Philippines | Malaysia | Saudi Arabia | UAE        |
| Russia       | Kazakhstan  | Cayman   | BVI          | Luxembourg |

Readers who hold primary enforcement data for any of these markets, such as collection rates, referral counts or median fines, can write to [editor@npsi.ca](mailto:editor@npsi.ca). Data received is credited.

FROM THE AUTHOR

# The price list

I came to this through Patrick Boyle's video on the Tera collapse. His framing was simple: weak institutions and tiny fines let bad actors drive out honest businesses. I wanted to know where else that was true, so I went looking for the fine that is smaller than the profit.

I expected to find weak laws. I didn't. Turkey, Korea, China, Thailand, Singapore and Australia all let fines run to multiples of the gain. On paper, the lawmakers did their jobs.

What I found was everything that happens after the law. Vietnam's regulator often recorded no measurable profit, so the fine fell to a fixed fee. Canada's regulators collected about a third of what they imposed between 2007 and 2012, and British Columbia, where NPSI is based, collected 2.9%. Turkey wrote the exit into the statute itself: pay twice the benefit before an investigation opens and no penalty follows.

Then the sentences. Forty years in Korea. Thirty-six in Singapore. Life in Indonesia.

Every one of them handed down after the money was gone.

## MY VIEW, AND MINE ALONE

A penalty nobody collects is a toll, and a toll that costs less than the gain is a business model.

The people who lost money in Turkey were not careless. They bought the product their market sold them as cash.

I would read a market's collection rate before I read its penalty code. The Tollgate Test on page 18 is how I now screen one: five signs, four numbers. Use it, argue with it, sharpen it.

Turkey did not lack laws. It had a price list. Every market has one somewhere. The tollgate markets are the ones where somebody read it before the regulator did.

*J.J.*

Jesse James · Founding Editor, NPSI · Victoria, British Columbia

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## SOURCES AND VERIFICATION

# Open items, published rather than hidden

A briefing that rates other people's enforcement should show its own weak points. These are the claims that carry a caveat.

- **Fund size.** Estimates run from \$16.5bn (Güvenal's conversion of TRY 830bn) through \$17bn (FT Alphaville, Middle East Eye) and \$18.3bn (Finance Minister Şimşek, via Euronews) to more than \$20bn (Reuters).
- **Flagship fund return.** The text uses Bloomberg's 18 September figure, via T24. A widely repeated 66,000% figure could not be traced to Bloomberg and is no longer used.
- **"Goldman Sachs of Turkey."** Bloomberg (18 September) reports Tera executives stating the aim. Not used in the text.
- **Overseas transfers.** Leaked prosecution claims about transfers by Pusula-linked individuals could not be verified and are excluded.
- **Prison range, Art. 107/1.** Resolved: three to five years since Law 7222 (2020).
- **Liquidation timetable.** Resolved: three months, extended to six on 21 September.
- **Fund counts by manager.** Resolved: the counts match SPK Bulletin 2026/61.
- **Turkish conviction statistics.** None found for prior manipulation cases.
- **Erkan's Field Diary.** An AI-assisted roundup. The first edition relied on it twice; both items are now sourced elsewhere.
- **Bangladesh.** Rated provisionally and under review: a 2025 report says fines now cover up to 90% of illicit gains.
- **IL&FS, Franklin Templeton, China WMPs, IOS.** Figures not re-verified for this briefing.
- **Academic framing.** La Porta, Lopez-de-Silanes and Shleifer (2006) and Jackson and Roe (2009) informed the analysis via secondary summary and were not re-reviewed.
- **Currency conversions.** Approximate, at 2026 rates unless marked "at the time".
- **Fifteen markets unrated.** Listed on page 19. Absence is not clearance.

## HOW THE LADDER WAS BUILT

Each market was scored on four observed signals rather than its statute: the typical penalty against the typical gain, the reality of criminal prosecution, published collection rates, and whether a payment can close a case. Evidence comes from regulator reports, court outcomes and press reporting, each dated in the source list. The result is an assessment, not a measurement, and it is published so it can be checked.

Every allegation in this briefing is reported as an allegation. No court had ruled on guilt in the Turkish cases as of 4 October 2026. Corrections are published and credited; this edition's are listed on page 23.

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## CORRECTIONS

# What this edition corrects

This is v1.0.1 of 4 October 2026. It corrects the first edition of 3 October after a check of its claims against their sources. The analysis and the ladder's ratings are unchanged; the facts under them are corrected.

- **Article 107(3)**, pp. 2, 3, 8, 11, 20. The first edition said paying twice the benefit within 15 days closes the criminal case. The statute removes the penalty only if payment comes before an investigation opens; later payment halves the sentence or cuts it by a third. The 15 days is the SPK's deadline.
- **Indonesia, an acquitted official**, p. 15. The first edition said an OJK supervisor drew 8 years for negligence. He was convicted of corruption and acquitted by the Supreme Court in 2022. The line is withdrawn.
- **Vietnam**, pp. 3, 9, 11, 12, 17. VND 1.5bn is the fixed fine when no gain is established, not a ceiling; manipulation is otherwise fined at ten times the gain. Both FLC fines were for undisclosed sales, and VND 400bn was sale proceeds. A disclosure fine described as manipulation is removed. The FLC appeal was in June 2025.
- **Canada**, pp. 3, 10, 11, 20. The 35.7% and 2.9% collection rates cover 2007 to 2012, not 2007 to the present. Fig. 10 is re-dated and an unsourced bar removed. The Supreme Court's 2024 Poonian holding is now stated.
- **Indonesia, prosecutions**, pp. 3, 11, 12. OJK reports 42 suspected crimes under investigation and five concluded cases with final verdicts, not five verdicts in 42 cases.
- **Thailand**, pp. 11, 12, 17. The 2,050-day average is for cases settled through civil fines. Stark's former chairman was returned from the UAE and indicted in June 2024.
- **Turkey, quotations and sources**, pp. 2, 4–8. The justice minister spoke of "Ponzi-like methods." The charges, the Başak entries and the 123% figure (Reuters, for an undated period) are re-sourced. The narrowing rule is administrative, not a 2017 amendment. The Kaya entry adds Reuters' context.
- **Korea**, Fig. 14. Lee Jong-pil's sentence is 20 years, not 15.
- **Brazil**, pp. 11, 13. The CVM imposed R\$832m in penalties on 186 people in 2023; the R\$100,000 average is withdrawn. The ABN Amro executive's criminal case was suspended without conviction.
- **Also corrected**. Fund sizes and counts attributed; a three-year return figure replaced with Bloomberg's dated one; the prison range stated as three to five years; the liquidation period, MSCI's November review and the interim payouts restated as the SPK and MSCI give them; Australia's 2019 changes; Korea's first surcharge; Japan's surcharge range; an unsourced India figure removed; Bangladesh placed under review; the source list corrected and completed; figures renumbered in page order.
- **House note**. The back cover now discloses AI assistance in research and drafting.

Readers who find a further error can write to [editor@npsi.ca](mailto:editor@npsi.ca). Corrections are credited.

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Corrections are published, not hidden.

Researched and drafted with substantial assistance from AI systems, principally Claude, made by Anthropic; the author is responsible for the text.

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